

Model Exit Exam for Accounting and Finance Students, 2023

Multiple Choice Questions

1. As per IPSAS 2, cash equivalents include.
 - A. Investment that are short term less than three months
 - B. Readily convertible to known amounts of cash
 - C. Both A & B
 - D. Equity investment
2. Changes in accounting estimates are accounted for in IPSAS 3 as.
 - A. In the current period
 - B. In the future period
 - C. In the current & future period
 - D. In the past period
3. If a distinction between a change in accounting policy and change in accounting estimate is unclear, the change is treated as.
 - A. A change in accounting policy
 - B. A change in accounting estimate
 - C. Any of above two
 - D. Both of the above two
4. Revenues and expenses for each statement of financial performance are translated.
 - A. At exchange rates at the date of the transaction
 - B. At the closing rate at the date of that statement of financial position
 - C. Any of the two
 - D. None of the above
5. As per IPSAS 12, for interchangeable items, cost is determined by.
 - A. FIFO method
 - B. LIFO method
 - C. Weighted average method
 - D. FIFO or weighted average method
6. Investment property is land or buildings held for (whether by the owner or under a finance lease)_____.
 - A. Ordinary course of operation
 - B. Use in the production or supply of goods

C. Sale in the ordinary course of operation

D. To earn rental or capital appreciation

7. Contingent liability as per IPSAS 19 arises when_____.

A. there is a possible obligation to be confirmed by a future event that is outside the control of the entity

B. a present obligation may, but probable will not require an outflow of resources embodying economic benefits or service potential

C. a sufficiently reliable estimate of the amount of a present obligation cannot be made

D. all of the above

8. The conceptual framework for financial reporting is.

A. A set of principles which underpin financial reporting

B. A set of regulations which govern financial reporting

C. A set of items which make up an entity's financial statements

D. A set of financial reporting standards

9. Recognition is the process of_____.

A. Determining the amount at which an item should be shown in the financial statements

B. Incorporating an item in the financial statements

C. Disclosing information in the notes to the financial statements

D. Determining where an item should be presented in the financial statements

10. One of the main advantages of standardization in financial reporting is_____.

A. The use of creative accounting practices

B. Increased flexibility in financial reporting

C. The production of prudent financial statements

D. Comparability between accounting periods and between entities

11. In relation to operating leases, which of the following statements is not true?

A. The lessee has not taken on the risks and rewards incidental to ownership

- B. The lease payments are recognized as an expense in the lessee's financial statements
- C. The leased item is not shown as an asset in the lessor's financial statements
- D. The leased item is not shown as an asset in the lessee's financial statements

12. A provision can be described best as ____.

- A. A liability which is legally enforceable
- B. A liability of uncertain timing or amount
- C. A reduction in the carrying amount of an asset
- D. A liability which is not legally enforceable

13. On what should the governmental fund financial statements report?

- A. Net position and results of financial operations of the government as a whole.
- B. Fiscal accountability.
- C. Operational accountability.
- D. Cost of government services.

14. Recognizing revenues when measurable and available for paying current obligations and expenditures when incurred describes which basis of accounting?

- | | |
|---------------------|--------------|
| A. Accrual | C. Cash |
| B. Modified accrual | D. Budgetary |

15. The Financial Accounting Standards Board has the responsibility for setting accounting and financial reporting standards for ____.

- A. All not-for-profit organizations that are nongovernmental and business entities.
- B. All special purpose governments.
- C. All not-for-profit organizations.
- D. All federal government agencies.

16. Which of the following distinguishes governments from nongovernmental not-for-profit organizations?

- A. Absence of profit motive.

B. B The power to enact and enforce a tax levy.

C. Resource providers do not expect benefits proportional to the resources provided.

D. Absence of a defined ownership interest that can be sold, transferred, or redeemed.

17. Which of the following groups is considered a primary user of a state or local government's general-purpose external financial statements?

A. Citizens.

C. Employees.

B. Managers and administrators.

D. Special interest groups.

18. In order that a provision should be recognized in an entity's financial statements, it is necessary that_____.

A. The entity has a legally enforceable obligation

B. The entity has a constructive obligation

C. The entity has a present obligation

D. It is possible that an outflow of economic benefits will be required

19. Which one of the following is NOT relevant when measuring the fair value of an asset?

A. Whether the asset is sold in an orderly transaction

B. The intention of an entity for holding an asset

C. The measurement date/ current price of the asset

D. Whether the sale occurred between market participants

20. Which of the following are examples of transaction costs in accordance with IFRS 13?

A. Transport costs

C. Financial costs

B. Transfer duty

D. All of the above

21. The definition of fair value focuses on ----- because they are a primary subject of accounting measurement.

A. Assets and liabilities

C. Observable and unobservable inputs

B. Rights and obligations

D. Entry price and exit price

22. Valuation technique that convert future amounts to a single current amount and determines the fair value on the basis of the value indicated by current market expectations about those future amounts are an example of:

A. The fair value approach

C. The cost approach

B. The income approach

D. The market approach

23. An entity issued 100 shares each to its 1,000 employees subject to service condition of next 2 years. Grant date fair value of the share is 195 each. There is an expectation 97% of the employees will remain in service at the end of 1st year. However, at the end of 2nd year the expected employees to remain in service would be 91% of the total employees. Calculate expense for year 1.

A. Br 9,447,500.00

C. Br 9,457,500.00

B. Br 9,447.300.00

D. Br 9,475,500.00

24. RRR Company hired a maintenance company for its oil fields. The services will be settled by issuing 1,000 shares of RRR. Period for which the service is to be provided is 1st April, 2021 to 1st July, 2021 and fair value of the service was estimated using market value of similar contracts for Br 100, 000.00. Nominal value per share is 10. Calculate the monthly expense.

A. Br 66,666.66

C. Br 33,533.33

B. Br 33,333.33

D. Br 33,733.33

25. Which of the following is not within the scope of AASB 2 Share-based Payment?

A. Equity instruments granted to employees of the acquiree in a business combination in their capacity as an employee

B. Cancellation, replacement or other modification of share-based payment arrangements because of a business combination

C. Cancellation, replacement or other modification of share-based payment arrangements because of other equity restructuring

D. Transactions in which entity receives or acquires goods or services as part of the net assets acquired in a business combination to which IFRS 3 (business combination applies).

26. BBB Company grants 1000 shares options to each of its 80 employees. Each grant is conditional on the employee working for the company for the next two years. The fair value of each option is estimated to be Br 10.00 at grant date and Br 12.50 at vesting date. The amount to be recognized as an expense by BBB in year 2 is:

A. Br 400,000.00

C. Br 200,000.00

B. Br 800,000.00

D. Br 1,000,000.00

27. MMM Company began operations on January 1 2021. For financial reporting, MMM recognizes revenues from all sales under the accrual basis. However, in its income tax returns, MMM reports qualifying sales under the installment method. MMM's gross profit on these installment sales under each method was as follows. The income tax rate is 30% for 2021 and future years. There are no other temporary or permanent differences. In its December 31, 2022 balance sheet, what amount should MMM report as a liability for deferred taxes?

A. Br 360,000.00

C. Br 840,000.00

B. Br 660,000.00

D. Br 600,000.00

28. In its first four years of operations ending December 31, 20X4, XYZ, Inc.'s depreciation for income tax purposes exceeded its depreciation for financial statement purposes. This temporary difference was expected to reverse in 20X5, 20X6 and 20X7. XYZ had no other temporary difference. XYZ's 20X4 balance sheet should include

A. A noncurrent contra asset for the effects of the difference between asset bases for financial statement and income tax purposes.

B. A current deferred tax liability only

C. A noncurrent deferred tax liability only

D. Both current and noncurrent deferred tax assets

29. What is the correct treatment regarding discounting of income tax assets and liabilities?

A. Current tax assets and liabilities are discounted. Deferred tax assets and liabilities are not discounted

B. Current tax assets and liabilities are not discounted. Deferred tax assets and liabilities are discounted

C. Current and deferred tax assets and liabilities are discounted

D. Current and deferred tax assets and liabilities are not discounted.

30. A company's receivables have carrying amount of Br 13,000 and a tax base of 15, 000; property, plant and equipment has carrying amount of Br 100,000.00 and a tax base of Br 80,000. Tax rate for the current year is 25%, but the tax rate of 30% for the future years has already been enacted. Calculate a net deferred tax liability.

A. Br 4,500.00

C. Br 5,500.00

B. Br 6,600.00

D. Br 5,400.00

31. ABC Company has an effective tax rate of 30%. On January 1, 20X1, ABC purchased computers for Br 100,000.00. The computers have a useful life of 10 years. What amount of current tax benefit will ABC realize during year 1 by using the 150% declining balance method of depreciation for tax purposes instead of the straight-line methods?

A. Br 4,500.00

C. Br 1,500.00

B. Br 3,000.00

D. Br 5,000.00

32. A company applies revaluation policy to its buildings. Rental building has cost of 1,300,000.00, carrying amount of Br 890,000.00 and the company revalued this building to Br 1,200,000.00 based on its market price. In previous years, tax allowable amortization was Br 400,000.00. What is a tax base of the rental building?

A. Br 1,200,000.00

C. Br 800,000.00

B. Br 410,000.00

D. Br 900,000.00

33. Tax legislation in a particular country sets the tax rate on sale of property of 30% and a tax rate on other income of 35%. What tax rate shall be used for measurement of deferred tax?

A. If the recovery of the property is expected through its sale, then apply 30% on temporary difference of property and 35% on remaining temporary differences.

B. Apply the tax rate of 30% on temporary difference of property regardless its expected recovery and 35% on other temporary differences.

C. Apply the average tax rate of 32.5%.

D. Apply the tax rate of 35% as this is the prevailing tax rate.

34. Justification for the method of determining periodic deferred tax expense is based on the concept of

A. Recognition of assets and liabilities

B. Consistency of tax expense measurements with actual tax planning strategies

C. Matching of periodic expense to periodic revenue.

D. Objectivity in the calculation of periodic expense.

35. Current income tax shall be recognized

A. In profit or loss and sometimes to other comprehensive income when a tax results from a business combination

B. In profit or loss, except for a situation when a relevant tax authority provided a tax relief.

C. In profit or loss

D. In profit or loss, except for some situations when it shall be recognized directly to equity or other comprehensive income.

36. Which of the following is not dealt with by IAS 41?

A. The accounting for biological assets.

B. The initial measurement of agricultural produce harvested from the entity's biological assets.

C. The processing of agricultural produce after harvesting.

D. The accounting treatment of government grants received in respect of biological assets.

37. A gain or loss arising on the initial recognition of a biological asset and from a change in the fair value less estimated point-of-sale costs of a biological asset should be included in

A. The net profit or loss for the period.

B. The statement of recognized gains and losses.

C. A separate revaluation reserve.

D. A capital reserve within equity.

38. Addis Dairy began operations on April 1, 2022, with the purchase of 20 milking cows for Br. 300,000. It has completed the first month of operations and has the following information for its milking cows at the end of April 2022: fair valuation surplus on initial recognition at fair value, Br.20, 000; Change in fair value due to growth, Br 10,000 and decrease in fair value due to harvest, Br. (5,000). How much the carrying value of biological assets at the end of April?

A. Br. 335,000.

C. Br. 325,000.

B. Br. 330,000.

D. Br. 300,000.

39. All but one of the following is circumstances which enables using market approach of asset valuation.

A. Reasonable projections of the amount and timing of future income are available for the asset.

B. The subject asset has recently been sold in a transaction appropriate for consideration under the basis of value.

C. There are frequent and/or recent observable transactions in substantially similar assets.

D. The subject asset or substantially similar assets are actively publicly traded.

40. An entity should apply IFRS 17, Insurance contracts, to which of the following?

A. Contingent consideration receivable in business combination

B. Product warranties issued by an entity which is manufacturer

C. Employers' assets and liabilities under employment benefit plan

D. Reinsurance contracts issued by the entity

41. If an entity gives a product warranty that has been issued directly by manufacturer, dealer or retailer, which IFRS is likely to cover this warranty?

A. IFRS 17 Insurance contracts

B. IFRS 9 Financial instruments

C. IAS 37 Provisions, contingent liabilities and contingent assets

D. IAS 32 Financial instruments- Presentation

42. Which of the following examples INCLUDES IFRS 17, Insurance contract?

A. Warranties provided by a manufacturer

B. Employers' assets and liabilities that arise from employee benefits

C. Contract between issuers and policy holder based on insured event

D. Contractual rights on the future use of non-financial items

43. Which of these contracts can NOT be considered as an insurance contract?

A. Insurance against theft or damage

B. Insurance against product liability

C. Product warranties

D. Credit-related guarantees

44. Which one of the following is NOT a measurement approach for the IFRS 17, Insurance Contracts?

- A. The General Model (GM)
- B. Premium Allocation Approach (PAA)
- C. Variable Fee Approach (VFA)
- D. Special Movement Approach (SMA)

45. Adequate planning and design of an audit is necessary for an auditor to restrict which type of audit risk?

- | | |
|-------------------|---------------------|
| A. Control Risk | C. Sufficiency Risk |
| B. Detection Risk | D. Inherent Risk |

46. An engagement letter is best described in which of the following statement?

- A. A letter from company management to the auditors specifying management's expectations for completion of the audit on a timely basis and the fees.
- B. A letter from the auditors to company management specifying that management is responsible for the financial statements, and the auditors will issue an opinion on the financial statements.
- C. A letter from the auditors to company management that specifies the responsibilities of both the company and the auditors in completing the audit and the timing for its completion.
- D. A letter from the Board of Directors' audit committee to the auditor that indicates the auditor has been engaged to perform the audit and the fees to be paid.

47. Which of the following statements is correct with regard to the predecessor successor communications?

- A. The successor auditor has no responsibility to contact the predecessor auditor.
- B. The successor auditor should obtain permission from the entity before contacting the predecessor auditor.
- C. The successor auditor should contact the predecessor regardless of whether the prospective client authorizes contact.
- D. The successor auditor need not contact the predecessor if the successor is aware of all available relevant facts.

48. Before accepting an audit engagement, a successor auditor should make specific inquiries of the predecessor auditor regarding the predecessor's.

- A. Awareness of the consistency in the application of accounting principles between periods.
- B. Evaluation of all matters of continuing accounting significance.
- C. Opinion of any subsequent events occurring since the predecessor's audit report was issued.
- D. Understanding as to the reasons for the change of auditors.

49. When planning an audit, an auditor should.

- A. Consider whether the extent of substantive procedures may be reduced based on the results of the internal control questionnaire.
- B. Determine overall materiality for audit purposes.
- C. Conclude whether changes in compliance with prescribed internal controls justify reliance on them.
- D. Prepare a preliminary draft of the management representation letter.

50. The concept of materiality as it applies to a financial statement audit.

- A. Relates primarily to the audit fees involved.
- B. Generally involves less professional judgment for public companies.
- C. Is determined, in part, based on how financial statement users may be influenced in making decisions.
- D. Relates primarily to the quantity of audit procedures performed.

51. The auditor obtains an understanding of the entity and its environment by performing all of the following assessment procedures except.

- A. Inquiries of management and others.
- B. Compute the level of detection risk.
- C. Analytical procedures.
- D. Observation and inspections.

52. Auditors obtain an understanding of an entity's internal control for the primary purpose of.

A. Gathering sufficient appropriate evidence to provide a reasonable basis for an opinion on the financial statements.

B. Determining the nature, extent and timing of subsequent audit procedures to be performed.

C. Determining whether interim audit testing is appropriate.

D. Providing documentary evidence to present to those charged with governance.

53. After obtaining an understanding of an entity's internal control system, an auditor may set control risk at high for some assertions because he or she.

A. Believes the internal controls are unlikely to be effective.

B. Determines that the pertinent internal control components are not well documented.

C. Performs tests of controls to restrict detection risk to an acceptable level.

D. Identifies internal controls that are likely to prevent material misstatements.

54. Which of the following represents the correct sequence of audit steps that come after first obtaining an understanding and documenting the entity's internal control?

A. Test of controls, assess control risk, determine extent of substantive tests, and reassess control risk.

B. Assess control risk, test of controls, determine extent of substantive testing, and reassess control risk.

C. Assess control risk, determine extent of substantive testing, test of controls, and reassess control risk.

D. Assess control risk, test of controls, reassess control risk, and determine extent of substantive testing.

55. Which of the following is true regarding audit evidence?

A. Auditors typically gather audit evidence about one whole financial statement at a time rather than one account at a time.

B. Auditors rarely gather audit evidence about one business process at a time.

C. Audit evidence is gathered to determine whether each relevant financial statement assertion is being supported.

D. When audit evidence supports management's assertions, a qualified audit opinion can be issued.

56. Which of the following statements is correct with regard to the quality or appropriateness of audit evidence?

- A. The auditor's direct personal knowledge, obtained through observation and inspection, is more persuasive than information obtained indirectly from independent outside sources.
- B. Audit evidence must be either valid or relevant but need not be both.
- C. Internal accounting data alone may be considered sufficient appropriate audit evidence to issue an unmodified opinion on financial statements.
- D. Appropriateness of audit evidence refers to the amount of corroborative evidence to be obtained.

57. Audit evidence can come in different forms with different degrees of persuasiveness. Which of the following is the least persuasive type of evidence?

- A. Vendor confirmations of accounts payable balances.
- B. Copies of bank statements obtained from the entity under audit.
- C. Pre-numbered Sales invoices.
- D. The opinion of an outside expert regarding inventory valuation.

58. An auditor includes a separate paragraph in a modified unqualified opinion to emphasize that there is significant doubt about the entity's ability to continue as a going concern. The inclusion of this separate paragraph.

- A. Is appropriate and would not negate the unmodified opinion.
- B. Is considered an 'except for' qualification of the opinion.
- C. Violates generally accepted auditing standards if this information is already disclosed in footnotes to the financial statements.
- D. Necessitates a revision of the opinion paragraph to include the phrase 'with the foregoing explanation'.

59. The basic elements of a standard audit report with a modified unqualified opinion include all of the following except.

- A. A statement that the financial statements are the responsibility of management.
- B. A title that includes the word 'Independent'.

C. A statement that although estimates are believed to be reasonable, there are normally differences between actual and estimated results.

D. A statement that an audit also includes evaluating of the reasonableness of accounting estimates made by management.

60. ABC Company had a system failure and lost part of its financial data. As a result, the auditor was unable to obtain sufficient appropriate audit evidence relating to ABC's inventory account. Assuming the inventory account is at least material, the auditor would most likely choose either.

A. A qualified opinion or a disclaimer of opinion.

B. A qualified opinion or an adverse opinion.

C. An unqualified opinion with no emphasis of matter paragraph or an unqualified opinion with an emphasis of matter paragraph.

D. A qualified opinion with no emphasis of matter paragraph or a qualified opinion with an emphasis of matter paragraph.

61. XYZ, independent auditor, was engaged to audit the financial statements of KKK Company's financial statement after its fiscal year had ended. XYZ neither observed the inventory count nor confirmed the receivables by direct communication with debtors but was satisfied that both were fairly stated after applying appropriate alternative procedures. XYZ's financial statement audit report most likely contained a(n).

A. Qualified opinion.

C. Standard unqualified opinion.

B. Disclaimer of opinion.

D. Modified unqualified opinion

62. When reporting on financial statements prepared on the basis of accounting used for income tax purposes, the auditor should include in the report a paragraph that.

A. Emphasizes that the financial statements have not been examined in accordance with auditing standards.

B. Refers to the authoritative pronouncements that explain the income tax basis of accounting being used.

C. Emphasizes that the financial statements are prepared on an income tax basis of accounting.

D. Justifies the use of the income tax basis of accounting.

63. Which of the following descriptions best describes inherent risk?

- A. Auditors fail to discover a material misstatement in the course of their audit and do not modify their audit opinion.
- B. A company's internal control fails to identify a material misstatement in a timely fashion.
- C. Auditing procedures fail to find a material misstatement.
- D. The possibility that a material misstatement will occur in any given account before considering internal control.

64. In obtaining an understanding of a manufacturing entity's internal control over inventory balances, an auditor most likely would.

- A. Analyze the liquidity and turnover ratios of the inventory.
- B. Perform analytical procedures designed to identify cost variances.
- C. Review the entity's descriptions of inventory policies and procedures.
- D. Perform test counts of inventory during the entity's physical count supervisor.

65. Auditor confirmation of accounts payable balances at the balance sheet date may be unnecessary because.

- A. This is a duplication of cutoff tests.
- B. Accounts payable balances at the balance sheet date may not be paid before the audit is completed.
- C. Correspondence with the audit client's attorney will reveal all legal action by vendors for nonpayment.
- D. There is likely to be other reliable external evidence to support the balances.

66. Which of the following is one of the most conclusive forms of evidence in establishing the existence of accounts receivable?

- A. Close inspection of notes on hand and verification with company personnel
- B. Comparisons of last year's receivables with current year amounts to test for reasonableness.
- C. The confirmation of accounts
- D. Contacting a credit reporting agency to determine the credit worthiness of customers

67. Which of the following procedures is least likely to help auditors to assess the adequacy of management's accounting estimate of the allowance for doubtful accounts?

- A. Investigate confirmation exceptions for indication of amounts in dispute
- B. Review amounts of accounts which have been written off as uncollectible prior to year-end.
- C. Investigate credit ratings for large accounts receivable
- D. Discuss with the credit manager the current status of doubtful accounts

68. Which of the following is a proper alternative audit procedure for non-responses to positive accounts receivable confirmation requests?

- A. Examination of subsequent cash receipts in payment of the receivable
- B. Mailing negative confirmation requests to non-respondents
- C. Expansion of the sample by the number of non-respondents
- D. Reduction of accounts receivable by the amount of the non-responses

69. An auditor has accounted for a sequence of inventory tags and is now tracing information on a representative number of tags to the inventory summary sheets. Which assertion does this procedure relate to most directly?

- | | |
|-----------------|-----------------|
| A. Completeness | C. Presentation |
| B. Existence | D. Valuation |

70. When performing an audit of the property, plant, and equipment accounts, an auditor should expect which of the following to be most likely to indicate a departure from generally accepted accounting principles?

- A. A gain was recognized on the sale of a fixed asset in which the book value exceeded the proceeds received for the sale.
- B. Interest has been capitalized for self-constructed equipment
- C. Assets have been acquired from affiliated corporations with the related transactions recorded and described in the financial statements.
- D. The cost of freight-in on an acquisition has been capitalized

71. Which of the following procedures is least likely to alert the auditors to unrecorded accounts payable?

- A. Confirmation of accrued liabilities
- B. Reconcile recorded liabilities with monthly statements from creditors

C. Examine disbursement transactions recorded following year-end

D. Analytical procedures involving year-end accounts payable

72. When Confirmations of accounts receivable are required by GAAS?

A. Receivables are not material

B. Use of confirmations would be ineffective

C. Environment risk is assessed as low and sufficient evidence is available from using other substantive tests

D. Receivables are material

73. As the acceptable level of detection risk decreases, the assurance directly provided from.

A. Substantive tests should increase.

C. Tests of controls should increase.

B. Substantive tests should decrease.

D. Tests of controls should decrease.

74. Inherent risk and control risk differ from detection risk in that they

A. Arise from the misapplication of auditing procedures.

B. May be assessed in either quantitative or non-quantitative terms.

C. Exist independently of the financial statement audit.

D. Can be changed at the auditor's discretion.

75. Which of the following is most likely to be a response to the auditor's assessment that the risk of material misstatement due to fraud for the existence of inventory is high?

A. Observe test counts of inventory at certain locations on an unannounced basis.

B. Perform analytical procedures rather than taking test counts.

C. Request that inventories be counted prior to year-end.

D. Request that inventory counts at the various locations be counted on different dates so as to allow the same auditor to be present at every count.

76. Cash typically has a small account balance, but auditors devote a large proportion of total audit hours. The following is /are the basic reasons of auditors devoting a large proportion of total audit hours, except one.

A. Liabilities, revenues, expenses and most other assets flow through cash

B. It is the most largest current asset

C. High risk account

D. All almost all business as affects cash

77. The most practical and effective audit procedure for detecting lapping is.

A. Preparing an interbank transfer schedule

B. Comparing recorded cash receipts in detail against items making up the bank deposit as shown on duplicate deposit slips validated by the bank

C. Tracing recorded cash receipts to postings in customers' ledger cards

D. Preparing a proof of cash

78. Which of the following procedures would an auditor most likely perform in searching for unrecorded liabilities?

A. Trace a sample of accounts payable entries recorded just before year-end to the unmatched receiving report file.

B. Compare a sample of purchase orders issued just after year-end with the year-end accounts payable trial balance.

C. Vouch a sample of cash disbursements recorded just after year-end to receiving reports and vendor invoices.

D. Scan the cash disbursements entries recorded just before year-end for indications of unusual transactions

79. All of the following is/are substantive procedures for inventories and cost of goods sold audit, except one.

A. Obtain listings of inventory and reconcile to ledgers.

B. Evaluate the client's planning of physical inventory.

C. Perform tests of the inventory cost accounting system

D. Observe the taking of physical inventory and make test counts.

E. Review the year-end cutoff of purchases and sales transactions.

80. An analysis of the aged accounts receivables is most directly related to which substantive test objective?

- A. Existence and occurrence.
- B. Presentation and disclosure.
- C. Rights and obligations.
- D. Valuation.

81. Which of the following procedures is least likely to help auditors to assess the adequacy of management's accounting estimate of the allowance for doubtful accounts?

- A. Investigate confirmation exceptions for indication of amounts in dispute.
- B. Review amounts of accounts which have been written off as uncollectible prior to year-end.
- C. Investigate credit ratings for large accounts receivable.
- D. Discuss with the credit manager the current status of doubtful accounts

82. An auditor has found many new assets on the plant floor, which coincides with an increase in the equipment subsidiary ledger. However, the auditor has noticed that lease payments are being made to an equipment leasing company. The auditor should primarily be concerned with which financial statement assertion?

- A. Rights and obligations
- B. Relevance
- C. Completeness
- D. Clerical accuracy

83. Which of the following is an internal control that would prevent a paid voucher from being present for payment for the second time?

- A. Vouchers should be prepared by individuals who are responsible for signing checks.
- B. Vouchers should be prepared by at least two responsible officials.
- C. The date on a voucher should be dated within a few days after the voucher is presented for payment.
- D. Cancel of supporting documents of those paid vouchers

84. The aim of cost and management accounting is:

- A. Cost reduction
- B. Ascertaining cost
- C. Provision of relevant information
- D. All of the above

85. A manufacturing company can avoid one of the following costs under the current production process, except:

- A. Spoilage
- B. Scrape
- C. Variable cost
- D. None of the above

86. A specialized field of accounting, which is designed to satisfy the information need of management bodies, is:

- A. Cost accounting
- B. Management accounting
- C. Financial accounting
- D. A & B
- E. B & C

87. The point at which an item should be ordered refers to:

- A. Order quantity
- B. Order point
- C. EOQ
- D. None

88. One of the following is not a material carrying cost.

- A. Holding cost
- B. Postage cost
- C. Handling cost
- D. Interest cost

89. Identify the false statement about differential rate method.

- A. Worker are guaranteed
- B. Different rates can be applied to different employees
- C. Remuneration is based on efficiency
- D. None

90. Which one is odd?

- A. Direct material cost
- B. Marketing cost
- C. R&D cost
- D. Distribution costs

91. The_____ Identify the false statement about cost accounting.

- A. To control current operations and plan for the future
- B. It provides information regarding production process for goods and services
- C. Management uses cost information to efficiently allocate resources
- D. None

92. Which one of the following is false about EOQ?

- A. Order cost and carrying cost are irrelevant in determining EOQ
- B. It is the point at which order cost and carrying cost become equal
- C. It is the maximum quantity to order at one time
- D. All

93. One of the following is not a carrying cost of inventory.

- A. Accounting costs
- B. Telephone costs
- C. Property tax
- D. All

94. Suppose AM PLC requires 5, 000 units of inventory. The cost of placing an order is \$0.20 and the annual carrying cost per unit is \$4.00. What is the EOQ of AM PLC?

- A. 50 units
- B. \$50
- C. 200
- D. 200 units

95. Suppose AM PLC requires 5, 000 units of inventory. The cost of placing an order is \$0.20 and the annual carrying cost per unit is \$4.00. Assume that order size and No. of orders are 250 and 100 respectively. What is the value of total order cost?

- A. \$400
- B. \$20
- C. \$50
- D. \$1000

96. Suppose AM PLC requires 5, 000 units of inventory. The cost of placing an order is \$0.20 and the annual carrying cost per unit is \$4.00. How much will be the average inventory during the year?

- A. 100 units
- B. 250 units
- C. 350 units
- D. None

97. Suppose AM PLC requires 5, 000 units of inventory. The cost of placing an order is \$0.20 and the annual carrying cost per unit is \$4.00. How much will be the average inventory during the year if safety stock is 50 units?

- A. 150 units
- B. 100 units
- C. 75 units
- D. None

98. Which of the following cost category is irrelevant for decision-making?

- A. Opportunity cost
- B. Sunk cost

C. Variable costs

D. Avoidable cost

99. According to IAS 2, the cost of inventory includes:

A. Transport

C. Purchasing

B. Handling

D. All

100. Which of the following statements is incorrect?

A. Under allocated indirect costs occur when the allocated amount of indirect costs in an accounting period is less than the actual amount.

B. Over allocated indirect costs occur when the allocated amount of indirect costs in an accounting period is greater than the actual amount.

C. Actual indirect-cost rate is calculated by dividing actual total indirect costs by the actual total quantity of the cost-allocation base

D. None

101. One of the following statements is not true about costs.

A. Variable cost vary in total in direct proportion to quantity

B. Fixed costs are constant on per unit basis

C. Variable cost per unit varies in direct proportion to quantity

D. All except A

E. All except B

102. In July 2022, IC7 co. incurred costs of \$100,000 to produce 50 units. Of these 50 units, 5 are spoiled units. What is the manufacturing cost per unit?

A. \$4000

C. \$2000

B. \$5000

D. \$3000

103. In July 2022, IC7 co. incurred costs of \$100,000 to produce 50 units. Of these 50 units, 5 are spoiled units. What is the manufacturing cost of spoiled units?

A. \$80, 000

C. \$10,000

B. \$20, 000

D. \$30,000

104. A part, segment, or subunit of an organization whose manager is accountable for a specified set of activities.

- A. Responsibility center
- B. Responsibility accounting
- C. Accountability
- D. Controllability

105. Accountants often perform CVP analysis to provide information about:

- A. Which products or services to emphasize
- B. The volume of sales needed to achieve a targeted level of profit
- C. The amount of revenue required to avoid losses
- D. Whether to increase fixed costs
- E. All

106. Budget has the following advantages except.

- A. Provides a framework for judging performance
- B. Motivates managers and other employees
- C. Promotes coordination and communication among subunits within the company
- D. None

107. A “what-if” technique that managers use to examine how an outcome will change if the original predicted data are not achieved or if an underlying assumption changes is known as;

- A. Sensitivity analysis
- B. Margin of safety
- C. Degree of operating leverage
- D. None

108. The_____ describes the effects that fixed costs have on changes in operating income as changes occur in units sold and contribution margin.

- A. Sensitivity analysis
- B. Margin of safety
- C. Degree of operating leverage
- D. None

109. Budget refers to;

- A. The quantitative expression of a proposed plan of action by management for a specified period
- B. An aid to coordinating what needs to be done to implement that plan

C. May include both financial and non-financial data

D. All

110. The _____ is the degree of influence that a manager has over costs, revenues, or related items for which he is being held responsible.

A. Responsibility

C. Controllability

B. Accountability

D. Transparency

111. Which one of the following is not true about variance?

A. Favorable variance for cost items refers to actual amounts are greater than budgeted amounts

B. Favorable variance for cost items refers to actual amounts are less than budgeted amounts

C. Unfavorable variance for cost items refers to actual amounts are greater than budgeted amounts

D. Unfavorable variance for cost items refers to actual amounts are less than budgeted amounts

E. A&D

F. B&C

112. Which of the following statement is true about relevant costs?

A. sunk costs are relevant future costs

B. Are expected future costs/revenues

C. Differ among alternatives

D. All except A

E. All except B & C

113. An example of qualitative data is:

A. Product cost

D. Inventory cost

B. Customer satisfaction

E. Net worth

C. Net income

114. Which one of the following correct about fixed costs?

A. Fixed costs vary on per unit basis

- B. Fixed cost are constant in total
- C. Fixed costs are directly proportional to the level of activity
- D. None

115. The following are part of the CVP assumptions except.

- A. Sales mix is constant for multiple products
- B. Selling price is constant
- C. Variable cost per unit is constant
- D. Revenue remains constant as changes occur in the units sold

116. Manufacturing cost budget includes:

- A. Material requirements
- B. Labor that are needed to meet the production needs
- C. Factory overheads
- D. All

117. Which is false about production budget?

- A. Production must be adequate to meet budgeted sales
- B. Production provides for sufficient ending inventory
- C. Production budget precedes sales budget
- D. All

118. The direct labor budget is based on:

- A. The desired ending inventory of finished goods.
- B. The beginning inventory of finished goods.
- C. The required production for the period.
- D. The required materials purchases for the period.

119. Identify the true statement about variable cost

- A. Variable costs are constant on per unit basis

B. Variable costs are constant in total

C. Average variable cost is fixed

D. All except B

120. The sales budget is

A. The Key to the entire budgeting process

B. All other schedules derive from it

C. A mistake here makes the entire budget less effective

D. All

121. Variances provide managers with:

A. Early warning of problems

B. A basis for performance evaluation

C. A basis for strategy evaluation

D. All

122. A system that measures the plans, budgets, actions and actual results of each responsibility center refers to;

A. Responsibility center

C. Accountability

B. Responsibility accounting

D. Controllability

123. One of the following is not the benefits of decentralization.

A. Greater responsiveness

C. Duplication of activities

B. Faster decision making

D. Increase motivation

124. Suppose that a firm deposits Br. 5,000 at the end of each year for four years at 6 per cent rate of interest. What is the present value of this annuity?

A) Br. 18,436

C) Br. 17,333

B) Br. 17,933

D) Br 18,733

125. Consider a common stock that paid a Br 5 dividend per share at the end of the last year and is expected to pay cash divided every year at a growth rate of 10%. Assume the investor's required rate of return is 12% .what would be the value of the stock?

A) Br. 275

C) Br. 375

B) Br. 270

D) Br. 370

126. In comparison to industry averages, ABC Corp. has a low inventory turnover, a high current ratio, and an average quick ratio. Which of the following would be the most reasonable inference about ABC Corp.?

A) Its inventory level is too high.

B) Its cost of goods sold is too low.

C) Its cash and securities balance is too low.

D) Its current liabilities are too low.

127. XYZ Co. has sales of \$500,000, operating profit of \$50,000, interest expense of \$10,000, tax expense of \$20,000, total equity of \$125,000 and total debt of \$275,000. Their return on assets is___.

A) 9.5%

C) 12%

B) 11%

D) 12.5%

128. Last year ABC Company had sales of br.200 million and its inventory turnover ratio was 5.0. The company's current assets totaled 100 million and its current ratio was 1.2. What was the company's quick ratio?

A) 1.12

C) 0.72

B) 0.87

D) 0.59

129. The_____ shows the dollar amount investors will pay for \$1 of current earnings.

A) price-to-earnings ratio

C) Market to Book value ratio

B) Basic Earning Power

D) Return on Equity

130. An investment earns an annual interest rate of 12 percent compounded quarterly. What is the effective annual rate?

A) 3.00%

C) 12.00%

B) 12.55%

D) 14.65

131. Assume project X involves an outlay of Br 40,000 at 12% discount rate. The cash inflow of the project is Br 8,000, 15,000, 20,000 and 25,000 from year 1 through four. Calculate the net present value of the project.

A) Br.11,253.46

C) Br.9574.88

B) Br.10,205.92

D) Br.9,259.43

132. Assume project X involves an outlay of Br 40,000 at 12% discount rate. The cash inflow of the project is Br 8,000, 15,000, 20,000 and 25,000 from year 1 through four. Calculate the profitability index of the project.

A) 1.431

C) 1.231

B) 1.331

D) 1.531

133. Assume project X involves an outlay of Br 40,000 at 12% discount rate. The cash inflow of the project is Br 8,000, 15,000, 20,000 and 25,000 from year 1 through four. Calculate the discounted payback period of the project?

A) 4.2

C) 2.6

B) 3.4

D) 2.8

134. If the cash flows of one project cannot be influenced by the acceptance of the other, the projects are.

A) Mutually exclusive projects

C) Independent projects

B) Contingent projects

D) Unrelated projects

135. A stock you are evaluating paid a dividend of Br. 4 at the end of last year. Dividends have grown at a constant rate of 4% per year over the next 20 years and this constant growth rate is expected to continue for indefinite period. The required rate of return on the stock is 9%. What is the value of this stock?

A) 91.35

C) 83.20

B) 87.90

D) 81.45

136. The sensitivity of a stock's returns to changes in returns on the market portfolio is measured by_____.

A) Risk

C) Beta

B) Index

D) Portfolio

137. ABC enterprise has a beta of 1.50. The risk free rate is 6 percent and the expected return on the market portfolio is 10 percent. The company presently pays a dividend of Br. 2 a share and investors expect it to experience a growth in dividends of 7 percent per annum for many years to come.

A) 14%

C) 15%

B) 12%

D) 11%

138. Which of the following reasons is responsible for corporations being the most important form of business organizations?

A) Corporations have limited life.

B) Stockholders have unlimited liability

C) Corporations are subject to less government regulation

D) Corporations have the ability to raise larger sums of capital

139. A company's stock current EPS is Br 3. EPS is estimated to grow by 6% per Year and the dividend payout ratio is 40%. The stock is estimated to be sold 12 times EPS after 3 Years. The required rate of return is 15%. What is the intrinsic value of this common stock?

A) 42.5

C) 27.89

B) 31.26

D) 34.5

140. A company's stock current EPS is Br 3. EPS is estimated to grow by 6% /Year and the dividend payout ratio is 40%. The stock is estimated to be sold 12 times EPS after 3 Years. The required rate of return is 15%. What is the selling price of the stock after 3 years?

A) 42.84

C) 37.9

B) 51.6

D) 44.5

141. The minimum rate of return that an investor must receive in order to invest in a project is most likely known as the.

A) Required rate of return.

C) Inflation rate.

B) Real risk free interest rate.

D) Effective rate

142. The present value of \$10,000 to be received five years from today, assuming a discount rate of 9% compounded monthly, is closest to_____.

A) \$6,499

C) \$6,897

B) \$6,387

D) \$ 6,724

143. What is the present value of an offer of Birr 100 per year at the end of every year for the next 5 years with a discount rate of 10% per year.

A) 479.1

C) 379.1

B) 411.10

D) 479.1

144. What factor/s does not influence the firm's capital structure decision?

A) The firm's tax position

B) Business risk

C) The conservatism or aggressiveness of management

D) None of the above

145. The firm's optimal capital structure is the one that balances the influence of risk and return and thus maximizes the firm's stock price.

A) True

B) False

Which of the following statement is not correct?

A) Capital structure is the mix of long-term debt and equity maintained by the firm

B) Higher leverage generally results in higher, but more volatile returns

C) Operating leverage is the extent to which fixed-income securities are used in a firm's capital structure

D) All are correct

146. A portion of a firm's net earnings which are paid out to the shareholders is.

A) Net income

B) Retained earning

C) Earnings per share

D) Dividend

147. According to stable dividend policy, dividend paid is equal to net income minus the amount of retained earnings necessary to finance the firm's optimal capital budget.

A) True

B) False

148. The process of determining the probability that customer will not pay is_____.

- A) Credit period
- B) Credit analysis
- C) Term of sale
- D) Collection policy

149. The following are costs associated with granting credit except_____.

- A) The required return on receivables.
- B) The losses from bad debts.
- C) The costs of managing credit and credit collections.
- D) The extra potential profit from credit sales that is lost because credit is refused.

150. One of the following is cost of holding inventory.

- A) Storage and tracking costs
- B) Insurance and taxes
- C) The opportunity cost of capital on the invested amount
- D) All can be the correct answer.

151. The _____ is a system for managing demand-dependent inventories that minimizes inventory holdings.

- A) Just in time
- B) ABC approach
- C) Red line method
- D) All of the above

152. A firm having excessive working capital may face.

- A) High carrying cost
- B) High locking up of Capital.
- C) Hindrance from efficient utilization of its fixed assets.

D) A and B

153. Which one of the following motives of cash holding states “firms hold cash to meet expected obligations whose timing is not perfectly matched with cash receipts”.

A) Precautionary motive

B) Transactions motive

C) Compensation motive

D) Speculative motive

154. Why firms need to manage inventory?

A) To meet the seasonal demand of the products.

B) To avoid price increase in future.

C) To ensure the level and site of inventories required.

D) All of the above

155. The----- is evaluation of both a firm’s past financial performance and its prospects for the future.

A. Financial analysis

B. Capital budgeting

C. Investment

D. None of the above

156. Which of the following is/are user of financial analysis?

A) Creditors

B) Managers

C) Stockholders

D) All of the above

157. A level of inventory at which the total cost of inventory comprising ordering cost and carrying cost is.

A) Economic order quantity

- B) Stock level
- C) Average stock
- D) Reorder quantity

158. Which of the following is/are determinant of firm's working capital management?

- A) Nature of business
- B) Business cycle
- C) Production policy
- D) All of the above

159. Which of the following is/are not true about Fixed Working Capital?

- A. It is a current asset required for carrying out minimum level of business activities.
- B. It changes with time and sales volume though firms' are not expanding.
- C. It represents the current assets required on a continuing basis over the entire year.
- D. The requirements of fixed working capital increase as the business grows.

160. Conservative working capital policy best described as;

- A. Maintain lower level of working capital against the high level of sales.
- B. Moderate level of Working Capital maintenance to moderate level of sales.
- C. Maintaining a higher level of Working Capital for lower level of sales.
- D. All of the above

161. The _____ is non-recurring dividend paid to shareholders in addition to the regular dividends

- A) Stock dividend
- B) Extra dividend
- C) Regular dividend
- D) Stock split

162. Which of these items would be accounted for as an expense?

- A. Repayment of bank loan
- B. Payment of the current period's rent
- C. Dividends for stockholders
- D. The purchase of equipment

163. The accounting assumption that states companies and owners should be account for separately.

- A. Going concern assumption
- B. Economic entity assumption
- C. Monetary unit assumption
- D. Periodicity assumption

164. Which journal entry should be made for the purchase of supplies Br. 500 on account?

- A. Credit to Accounts Receivable for Br. 500 & debit to Supplies for Br. 500
- B. Debit to Accounts Payable for Br. 500 & credit to Supplies for Br. 500
- C. Debit to Accounts Payable for Br. 500 & credit to Cash for Br. 500
- D. Debit to Supplies for Br. 500 & credit to Accounts payable for Br. 500

165. During September 2022, XY retail business had the following transactions. Using the above information, what is the amount of merchandise available for sale?

- A. Br. 35,540
- B. Br. 37,700
- C. Br. 36,580
- D. Br. 34,500

166. The adjusting entry to record inventory shrinkage under a perpetual inventory system would include a debit to:

- A. Inventory
- B. Cost of Merchandise Sold
- C. Account payable

D. Sales

167. The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is called _____.

A. Bank service charges

B. Outstanding checks

C. Deposit in transit

D. A bank error

168. Allowance for doubtful accounts has a debit balance of Br. 1,000 at the end of the year (before adjustment), and uncollectible accounts estimate based on an aging schedule is Br. 10,000. The amount of bad debt expense which should be reported for the year is_____.

A) Br. 10,000

B) Br. 11,000

C) Br. 9,000

D) Br. 1,000

169. Addison, Inc. uses a perpetual inventory system. The following is information about one inventory item for the month of September: Sep. 1 Inventory 20 units at \$20 4 Sold 10 units 10 Purchased 30 units at \$25 17 Sold 20 units 30 Purchased 10 units at \$30 If Addison uses FIFO, the cost of the ending merchandise inventory on September 30 is_____.

A. \$800

B. \$650

C. \$750

D. \$700

170. In a period of rising prices, average cost will produce_____.

A. Higher net income than FIFO.

B. The same net income as FIFO.

C. Lower net income than FIFO.

D. Net income is equal to the specific identification method.

171. Which of the following should not be included in the cost of equipment?

- A. freight and handling charges
- B. period insurance cost on the equipment
- C. assembling and installation costs
- D. purchase price

172. Computer equipment was acquired at the beginning of the year at a cost of Br. 57,000 that has an estimated residual value of Br. 9,000 and an estimated useful life of 5 years. Determine the 2nd year's depreciation using straight-line depreciation.

- A. Br. 13,200
- B. Br. 19,200
- C. Br. 9,600
- D. Br. 9,000

173. If there is no written agreement as to the way, income will be divided among partners.

- A. They will share income and losses equally.
- B. They will share income and losses according to their capital balances.
- C. They will share income and losses according to the time devoted to the business.
- D. There really is no partnership agreement.

174. Dividend in arrears is_____.

- A. The unpaid dividend amount.
- B. The amount of current period dividend.
- C. The amount of future period dividend.
- D. All of the above

175. Which journal entry should be made for the issue of 20,000 Ordinary shares for Br. 15 per share, Br. 12 par value?

- A. A credit to Share Premium on Sale of Ordinary Share, Br. 240,000.
- B. A debit to Share Premium, Ordinary Share, Br. 50,000.

C. A credit to Ordinary Share, Br. 240,000.

D. A credit to Ordinary Share, Br. 300,000.

176. According to Ethiopian income tax proclamation No.979/2016, the maximum employee income tax rate is _____.

A. 30%

B. 35%

C. 25%

D. 15%

177. According to Ethiopian labor proclamation No. 1156/2019 a worker shall be paid at 1.75 times his ordinary hourly rate overtime work performed between in the evening (10 p.m.) and in the morning (6 a.m.).

A. True

B. False

178. How does accounting help the capital allocation process attract investment capital?

A) By providing timely, relevant information.

B) By encouraging innovation.

C) By promoting productivity.

D) By providing timely, relevant information and by encouraging innovation.

179. Which of the following represents a form of communication through financial reporting but not through financial statements?

A) Balance sheet

B) President's letter

C) Income statement

D) Notes to financial statements

180. Which of the following is a general limitation of "general purpose financial statements"?

A) It may not be the most informative for a specific enterprise.

B) The statements are not comparable.

- C) The statements do not fairly present a company's financial operations.
- D) It provides financial reporting information to a wide variety of users.

181. What is a possible danger if politics plays too big a role in accounting standard setting?

- A) Accounting standards that are not truly generally accepted.
- B) Individuals may influence the standards.
- C) User groups become active.
- D) The FASB delegates its authority to elected officials.

182. A soundly developed conceptual framework of concepts and objectives should.

- A) Increase financial statement users' understanding of and confidence in financial reporting.
- B) Enhance comparability among companies' financial statements.
- C) Allow new and emerging practical problems to be more quickly solved.
- D) All of these answer choices are correct.

183. Which of the following is an example of managing earnings down?

- A) Changing estimated bad debts from 3 percent to 2.5 percent of sales.
- B) Revising the estimated life of equipment from 10 years to 8 years.
- C) Not writing off obsolete inventory.
- D) Reducing research and development expenditures.

184. The underlying theme of the conceptual framework is.

- A) Decision usefulness
- B) Understandability
- C) Faithful representation
- D) Comparability

185. Changing the method of inventory valuation should be reported in the financial statements because of which qualitative characteristic of accounting information?

- A) Consistency

B) Verifiability

C) Timeliness

D) Comparability

186. Which of the following is an argument against using historical cost in accounting?

A) Historical costs are based on an exchange transaction

B) Fair values are more relevant

C) Historical costs are reliable

D) Fair values are subjective

187. According to IFRS 15, a company has a performance obligation when it agrees to.

A) Perform a service for a customer and receives cash payment.

B) Sell a product to a customer after receiving payment.

C) Perform a service or sell a product to a customer.

D) None of the answer choices are correct.

188. A limitation of the balance sheet that is not also a limitation of the income statement is

A) The use of judgments and estimates.

B) Omitted items.

C) The numbers are affected by the accounting methods employed.

D) Valuation of items at historical cost.

189. Which of the following events will appear in the cash flows from financing activities section of the statement of cash flows?

A) Cash purchases of equipment.

B) Cash purchases of bonds issued by another company.

C) Cash received as repayment for funds loaned.

D) Cash purchase of treasury stock.

190. HLM Company has the following items: Ordinary share, Br. 1,600,000; treasury stock, Br. 210,000; deferred income taxes, Br. 250,000 and retained earnings, Br. 780,000. What total amount should HLM Company report as stockholders' equity?

- A) Br. 2,380,000
- B) Br. 2,170,000
- C) Br. 2,420,000
- D) Br. 2,590,000

191. Which of the following is true of accounting for changes in estimates?

- A) A company recognizes a change in estimate by making a retrospective adjustment to the financial statements.
- B) A company accounts for changes in estimates only in the period of change, even though it affects the future periods.
- C) Changes in estimates are not carried back to adjust prior years.
- D) Changes in estimates are considered as errors.

192. A company makes a loan Br. 2,000,000, 8%, 20-year notes to yield 10% on January 1, 2022. Interest is collected semi-annually on June 30 and December 31. What amount of notes receivable should be recognized on date of issuance?

- A) Br. 2,000,000
- B) Br. 1,656,818
- C) Br. 1,750,756
- D) Br. 1,659,457

193. Hughes Corp. has a credit balance of Br. 5,000 in its Allowance for Doubtful Accounts before any adjustments are made at the end of the year. Based on review and aging of its accounts receivable at the end of the year. Hughes estimates that Br. 60,000 of its receivables are uncollectible. The amount of bad debt expense which should be reported for the year is.

- A) Br. 5,000
- B) Br. 55,000
- C) Br. 60,000

D) Br. 65.000

194. Which of the following would not have an effect on the cost-to-retail ratio if the lower of average cost or net realizable value were applied to the retail-inventory method?

A) Markdown

B) Markup cancellation

C) Additional markup

D) Markup

195. According to IFRS 9 (Financial Instruments), held for collection security has to be valued at

A) Fair value

B) Initial cost

C) Amortized cost

D) Present value

196. Making and collecting loans and disposing of property, plant, and equipment are_____.

A) Operating activities

B) Investing activities

C) Financing activities

D) Liquidity activities

197. According to IAS 2, inventory has to be valued at_____.

A) LCNRV

B) Average cost

C) NRV

D) Fair value

198. HM Co. purchased for \$2,200,000 property that included both land and a building to be used in operations. The seller's book value was \$300,000 for the land and \$900,000 for the building. By appraisal, the fair value was estimated to be \$500,000 for the land and \$2,000,000 for the building. At what amount should it record the land and the building respectively?

A. \$550,000 & \$1,650,000

- B. \$1,100,000 & \$1,100,000
- C. \$440,000 & \$1,760,000
- D. \$1,650,000 & \$550,000
- E. \$1,760,000 & \$440,000

199. On June 28, 2005, a business sold for \$1,500 a plant asset that cost \$5,000. The asset had a 5-year useful life, no salvage value, and had been used by the business since January 1, 2002. Straight-line depreciation was used. The fiscal year ends on December 31. What was the result of selling the plant asset?

- A. A \$1,000 gain on the disposal of plant assets.
- B. A \$500 loss on the disposal of plant assets.
- C. A \$500 unrecognized gain on the sale of a plant asset.
- D. No gain or loss on the disposal of plant assets.
- E. None of the above.

200. Which of the following assets do not qualify for capitalization of interest costs incurred during construction of the assets?

- A. Assets under construction for an enterprise's own use.
- B. Assets intended for sale or lease that are produced as discrete projects.
- C. Assets financed through the issuance of long-term debt.
- D. Assets not currently undergoing activities necessary to prepare them for their intended use.
- E. None of the above.

201. FM Company obtained land by issuing 10,000 shares of its \$12 par value ordinary shares. The land was recently appraised at \$85,000. The ordinary shares are actively traded at \$10 per share. How much is the cost of land on the statement of financial position?

- | | |
|--------------|-------------|
| A. \$120,000 | D. \$10,000 |
| B. \$100,000 | E. \$0 |
| C. \$85,000 | |

202. Assume that HT Co. incurs \$180,000 in legal costs on January 1, 2015, to successfully defend a patent. The patent's useful life is 20 years, amortized on a straight-line basis. How much is the annual amortization expense?

- A. 9,000
- B. 8,000
- C. 7,000
- D. 10,000
- E. None

203. Which one of the following is not an intangible asset?

- A. Copyrights
- B. Goodwill
- C. Plant expansion fund
- D. Trademarks

204. Which one of the following is incorrect about impairment?

- A. The impairment loss is the amount by which the carrying amount of the asset exceeds the fair value of the asset.
- B. It arises when the sum of the expected future net cash flows from the long-lived asset is less than the carrying amount of the asset
- C. Impairment test is performed only for limited life intangible assets.
- D. All of the above
- E. None of the above

205. Possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity are:

- A. Long-term Liabilities
- B. Provisions
- C. Contingent assets
- D. Contingent liabilities
- E. None of the above

206. Which one of the following is not possible loss contingency?

- A. Guarantee and warranty costs
- B. Litigation, claims, and assessments
- C. Possible receipts of monies from gifts

D. Environmental liabilities

E. None of the above

207. Which one of the following is not correct about Liabilities?

A. Liabilities are probable future sacrifices of economic benefits.

B. Liabilities are arising from future obligations.

C. They are occurring as a result of past transactions or events.

D. Liabilities are settled over time through the transfer of economic benefits including money, goods, or services.

E. None of the above

208. On January 1, 2012, NN Company purchased \$400,000, 8% bonds of AG Co. for \$369,114. The bonds were purchased to yield 10% interest. Interest is payable semiannually on July 1 and January 1. The bonds mature on January 1, 2017. NN Company uses the effective-interest method to amortize discount or premium. On January 1, 2014, NN Company sold the bonds for \$370,726. How much is the carrying value of the bond on 7/1/13?

A. \$374,149

D. \$382,684

B. \$376,856

E. \$400,000

C. \$379,699

209. Assume that ABC Company issued bonds with a maturity amount of \$200,000 and a maturity of ten years from the date of issue. If the bonds were issued at a premium, this indicates that

A. The effective yield or market rate of interest exceeded the stated (nominal) rate.

B. The nominal rate of interest exceeded the market rate.

C. The market and nominal rates coincided.

D. No necessary relationship exists between the two rates.

210. Under the effective-interest method of bond discount or premium amortization, the periodic interest expense is equal to:

A. The stated (nominal) rate of interest multiplied by the face value of the bonds.

B. The market rate of interest multiplied by the face value of the bonds.

- C. The stated rate multiplied by the beginning-of-period carrying amount of the bonds.
- D. The market rate multiplied by the beginning-of-period carrying amount of the bonds.

2011. A company issues \$20,000,000, 7.8%, 20-year bonds to yield 8% on January 1, 2010. Interest is paid on June 30 and December 31. The proceeds from the bonds are \$19,604,145. Using effective-interest amortization, how much interest expense will be recognized in 2010?

- A. \$780,000
- B. \$1,560,000
- C. \$1,568,498
- D. \$1,568,332

212. Which one of the following is incorrect about equity method of investment?

- A. The investment is recognized initially at cost.
- B. The investment is recognized initially at fair value.
- C. The balance of investment is subsequently adjusted each period for the investor's proportionate share of the earnings (losses).
- D. The balance of investment is subsequently adjusted each period for the investor's proportionate share of the dividends received by the investor.

213. If an investor acquires 30% of voting interest or share of an investee, which one of the following would be False?

- A. An investor has the ability to exercise significant influence over an investee.
- B. The investor must account for the investment using the equity method.
- C. The investor initially records the investment at cost and subsequently adjusts the amount each period.
- D. The investor must account for the investment using fair value method.

214. All of the following statements are correct about held to maturity securities except:

- A. They are reported at amortized cost
- B. If there is any discount or premium, it should be amortized periodically.
- C. Unrealized holding gain or loss should not be recognized.
- D. Unrealized holding gain or loss should be recognized in net income.

215. Which one of the following statements is incorrect?

- A. The discount is amortized either by the straight-line method or the effective interest method.
- B. The amortized premium on bond issue is added to the interest paid in cash during the interest period.
- C. The amortized premium on bond issue is deducted to the interest paid in cash during the interest period.
- D. The premium is amortized either by the straight-line method or the effective interest method.

216. A lease which is generally not cancellable and covers full economic life of the asset is known as:

- A. Sale and lease back
- B. Operating Lease
- C. Finance Lease
- D. Economic Lease

217. Mr. 'Y' is permanent employee of MoR at Bahir Dar Branch with basic salary of birr 10,900, transportation allowance of birr 1,000, house allowance of birr 1,000 during the month he is absent one and half days (1.5) and he 8hr overtime work between 10:00 P.M and six (6:00 A.M) in the morning. How much Mr. 'Y' income tax and net income respectively?

- A. Birr 3,015 and 9,885
- B. Birr 2,805 and 9,332
- C. Birr 763 and 10,095
- D. Birr 3,568 and 9,332

218. Mr. 'Y' is permanent employee of MoR at Bahir Dar Branch with basic salary of birr 10,900, transportation allowance of birr 1,000, house allowance of birr 1,000 during the month he is absent one and half days (1.5) and he 8hr overtime work between 10:00 P.M and six (6:00 A.M) in the morning. How much payroll tax of the office to Mr. 'Y'?

- A. Birr 763
- B. Birr 1,199
- C. Birr 1,962
- D. Birr 1,419

219. The following is not a characteristic of a tax.

- A. Every tax involves a sacrifice by tax payer
- B. Refusal to pay tax is a punishable offence.
- C. It is a compulsory payment
- D. There is a direct return between the taxpayer and the Government.

220. One of the following is wrong statement.

- A. A tax is said to be regressive when its burden falls more heavily on low-income earners.
- B. Too Progressive income tax system discourages motives to work, save and invest.
- C. Digressive tax system is a mixture of proportional as well as progressive tax system.
- D. Proportional tax is based on the principle 'higher the income, higher the tax'.

221. The taxation principle or canon, which states that taxpayers should be able to understand the taxes that they pay in time and amount to avoid differences and improve compliance.

- | | |
|------------------------|-------------------------|
| A. Canons of Economy | C. Canons of simplicity |
| B. Canons of certainty | D. Canons of neutrality |

222. The expenditure principle or canon, which states that every public spending of the government must, ultimately is used for the general welfare of the common people.

- | | |
|-----------------------|---------------------------|
| A. Canon of Economy: | C. Canon of Benefit: |
| B. Canon of Sanction: | D. Canon of Productivity: |

223. Assume Ethiopian government declared new tax system, which is every taxpayers, should pay between June 1 and June 30 E.C. which canon/principle will violate?

- | | |
|---------------|----------------------|
| A. Simplicity | C. Convenience |
| B. Certainty | D. Understandability |

224. Assume X Company was understating taxable income by hiding his sale. Practice of X Company is.

- | | |
|------------------|---------------------------------|
| A. Tax avoidance | C. Tax evasion |
| B. Tax planning | D. Legal means of tax reduction |

225. DH flour factory, VAT registered plc, sold 500 quintals of wheat flours at VAT inclusive price of birr 460 per quintal. The factory has imported chemicals and raw materials worth birr 200,000 (including C.I.F and other duty excluding VAT for flour production in the month of Hamle. Determine the VAT payable (VAT Refund) for the given month.

- | | |
|----------------|----------------|
| A. Birr 30,000 | C. Birr 60,000 |
| B. Birr 0 | D. Birr 90,000 |

226. One of the following tax is equalization tax imposed on persons not registered for value-added tax to fulfill their obligations, also to enhance fairness in commercial relations, and to complete the coverage of the tax system.

A. Value add tax

C. Turn over tax

B. Custom duty

D. Withhold tax

227. The difference between the money, which comes out of the pockets of people and that which is deposited in the public treasury, should be as small as possible.

A. Canon of equality

C. Canon of economy

B. Canon of elasticity

D. Canon of productivity

228. Type of canon which state that tax revenue should have an inherent tendency to increase along with an increase in national income, even if the rates and coverage of taxes are not revised.

A. Canon of Buoyancy

C. Canon of productivity

B. Canon of economy

D. Canon of expediency

229. Revenue sharing between central and regional governments take in to consideration the following Principles, except:

A. Ownership of source of revenue;

B. International relationship of the region

C. The National or Regional character of the sources of revenue;

D. Population, distribution of wealth and standard of development of each region

230. Which of the following is considered as concurrent Revenue of regional and central governments?

A. Profit tax, royalty and rent of land collected from large scale mining

B. Agricultural income tax from farmers and rural land use fee

C. Tax from air, rail and marine transportation

D. Tax on income from inland water transportation.

231. One of the following is necessarily true.

A. Public finance cannot take coercive action to raise revenue

B. Public finance set its expenditure after determining its revenue

C. Both private and public finance try to secure the maximum benefit

D. Expenditure in the case of public finance is often influence by customs, habits, social status but not in private finance.

232. Which of the following is correct about public expenditure?

A. Expenditure is the end and aim of the collection of revenues.

B. Capital expenditure and current expenditures are classifications of public expenditure

C. Public expenditure is also used as a tool for implementing welfare, growth, stabilization and other policies, by the government

D. All of the above

233. Type of wants, which is Satisfied by the government at low prices for the poor due to their low level of income.

A. Private want

C. Merit want

B. Social want

D. Public want

234. Assume Arada sub city Tax Authority decided to Selam stationery should be VAT registered, and manager of stationery was collect this VAT from you by increasing price of stationery products. What type of tax shifting does the manager use?

A. Backward shifting

C. Forward shifting

B. Tax incidence

D. Tax impact

235. Assume Arada sub city Tax Authority decided to Selam stationery should be VAT registered, and manager of stationery was collect this VAT from you by increasing price of stationery products. Who will bear the ultimate burden or tax incidence?

A. Manager of the stationary

C. Suppliers

B. Customer (you)

D. Both (stationary itself and customers)

236. Type tax, which is determine based on their weights, size or volume and which violet canon of equity is:

A. Ad voleram tax

B. Specific tax

C. Progressive tax

D. Direct tax